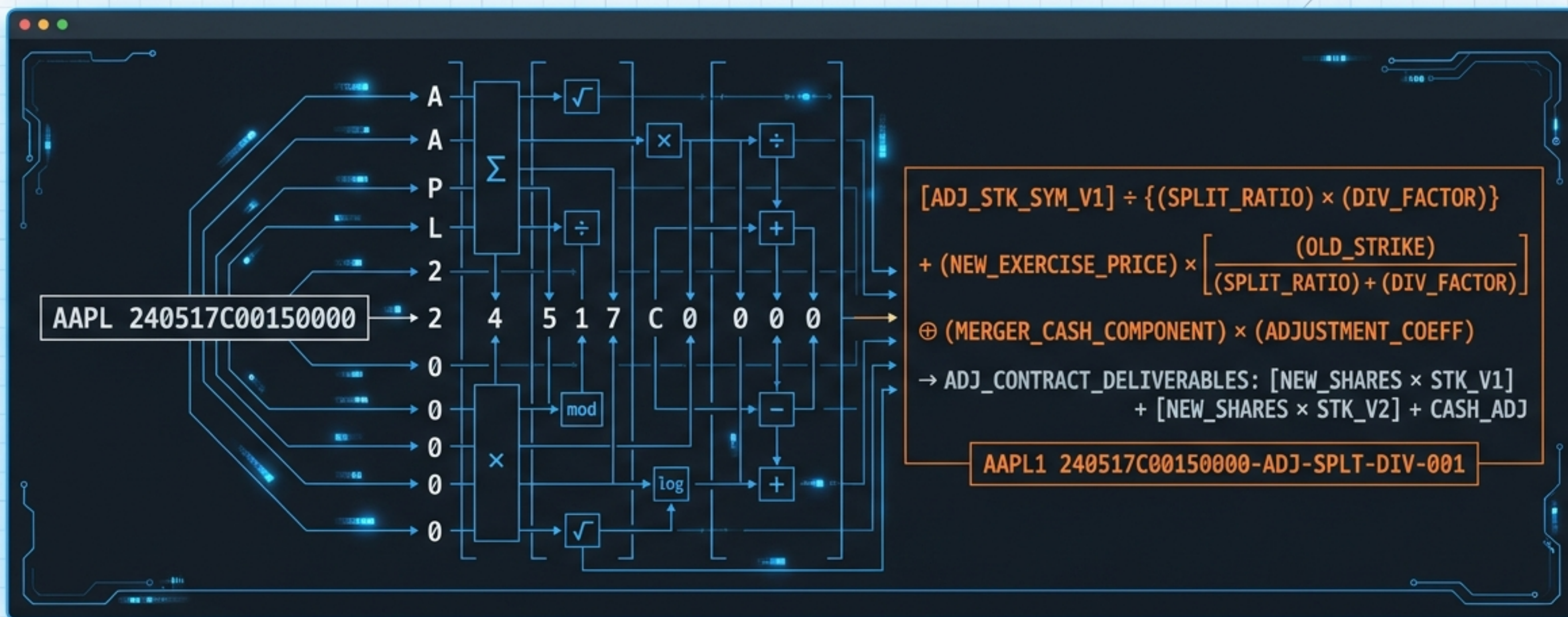


The Trader's Guide to Option Adjustments

The mechanical rulebook for how the OCC rewrites listed options during splits, dividends, and mergers—and how to protect your short book.



The Single Invariant Governing Every Contract Rewrite

The Problem: Corporate actions hand an unearned windfall to one side of a contract and a loss to the other.

$$[\text{Aggregate Exercise Price}] = [\text{Strike}] \times [\text{Multiplier}]$$

The OCC Promise: The Options Clearing Corporation alters whatever variables it must to freeze the economics in place, keeping the aggregate exercise value and total deliverable value constant.

Path 1: Give You More Contracts

Used for clean, whole-number splits.

Contract count multiplies,
strike divides.

Deliverable stays a clean,
standard 100 shares.

Liquidity unaffected.



Path 2: Rewrite the Single Contract

Used for odd splits, reverse splits, special dividends, and M&A.

Contract count stays the same.
Strike, multiplier, and
deliverable are forcibly adjusted.

The result is a **non-standard (adjusted) contract**.



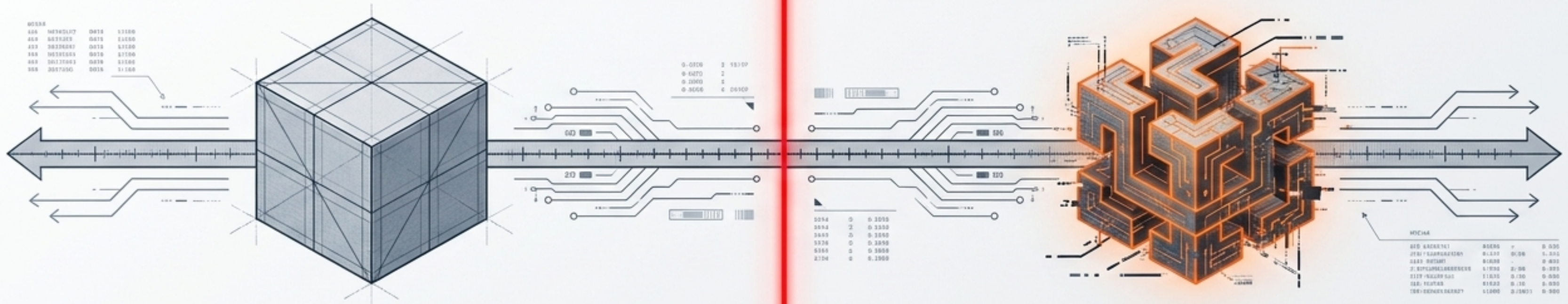
CLEARINGHOUSE LEDGER
BLUEPRINT APPROVED

The Ex-Date Boundary Determines Contract Fate

The Ex-Distribution Date
(Monday)

Escape Zone
Expires Friday prior to Ex-Date

Adjustment Zone
Expires week of Ex-Date or later



Contracts expiring before the ex-date settle on old, pre-event terms.

A short call expiring the Friday before a Monday ex-date is untouched and settles as a plain 100-share contract.

Contracts living on or past the ex-date are rewritten under new terms.

Terminal Warning Callout: Practical Rule: Sort your option ladder by expiration against the ex-date before assuming your near-dated position is safe.

Maintaining the Math During Forward Splits

Split Diagnostic Matrix

Even Splits (Whole Number)

Scenario: e.g., 2-for-1 or 4-for-1.

Mechanism: Multiplies contracts, divides strike.

Contracts:	↑ ×2
Strike:	↓ ÷2
Multiplier:	— (100)
Deliverable:	— (100 sh)

Result: Clean. No non-standard symbol. No liquidity penalty. (By-Laws Art. VI §11A).

Odd Splits (Fractional)

Scenario: e.g., 3-for-2 or 4-for-3.

Mechanism: Multiplying contracts by 1.5 is **illegal** (no half-contracts). The OCC divides strike, raises multiplier, and expands deliverable.

Contracts:	— (1)
Strike:	↓ ÷1.5
Multiplier:	↑ ×1.5
Deliverable:	↑ ×1.5 (150 sh)

Real Example: PACCAR (PCAR) 3-for-2 [Memo #51729]

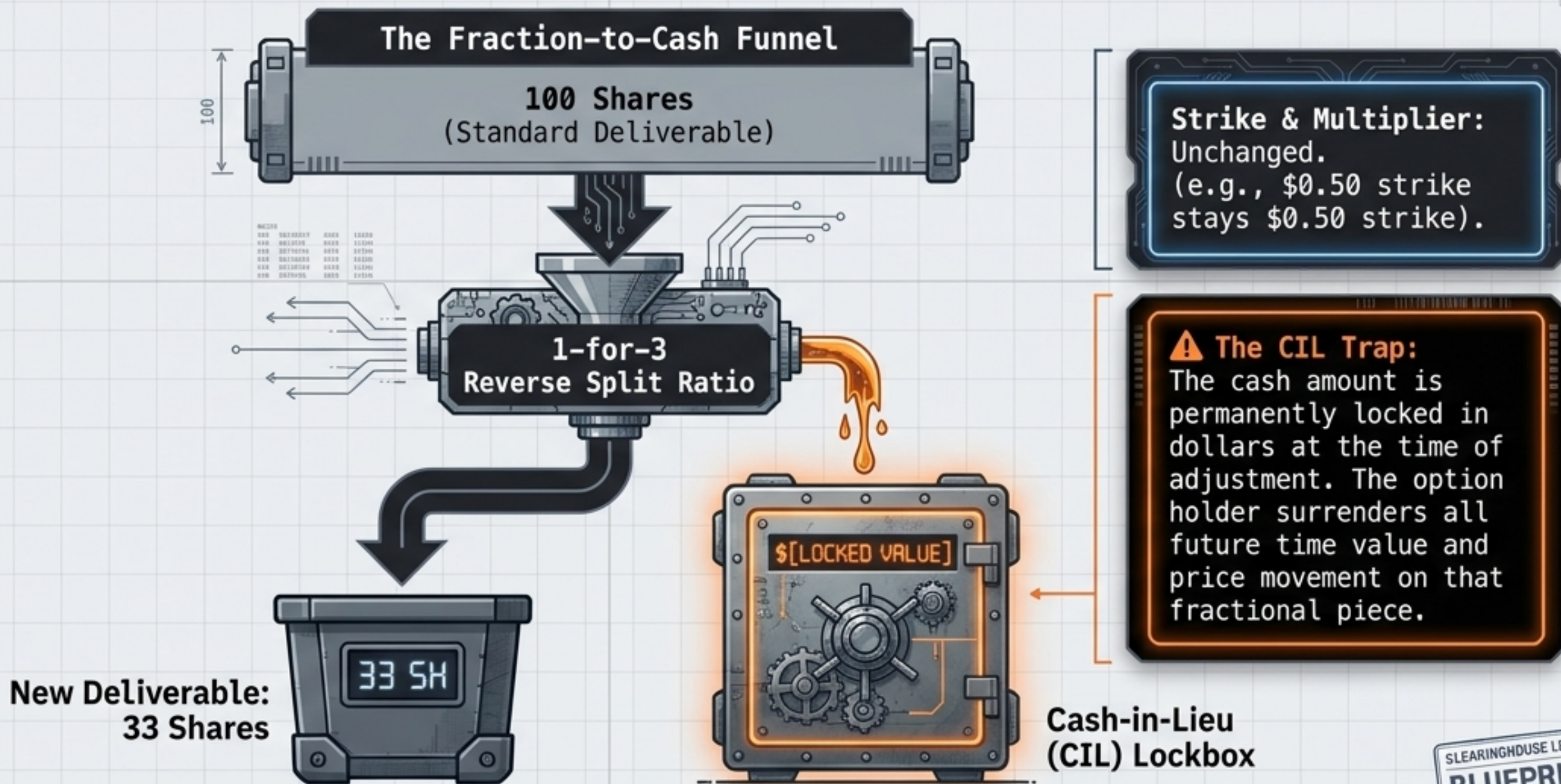
Before: 1 contract, \$37.20 strike, 100 multiplier, 100 shares. (Aggregate: \$3,720)

After (PCAR1): 1 contract, \$24.80 strike, 150 multiplier, 150 shares. (Aggregate: \$3,720).

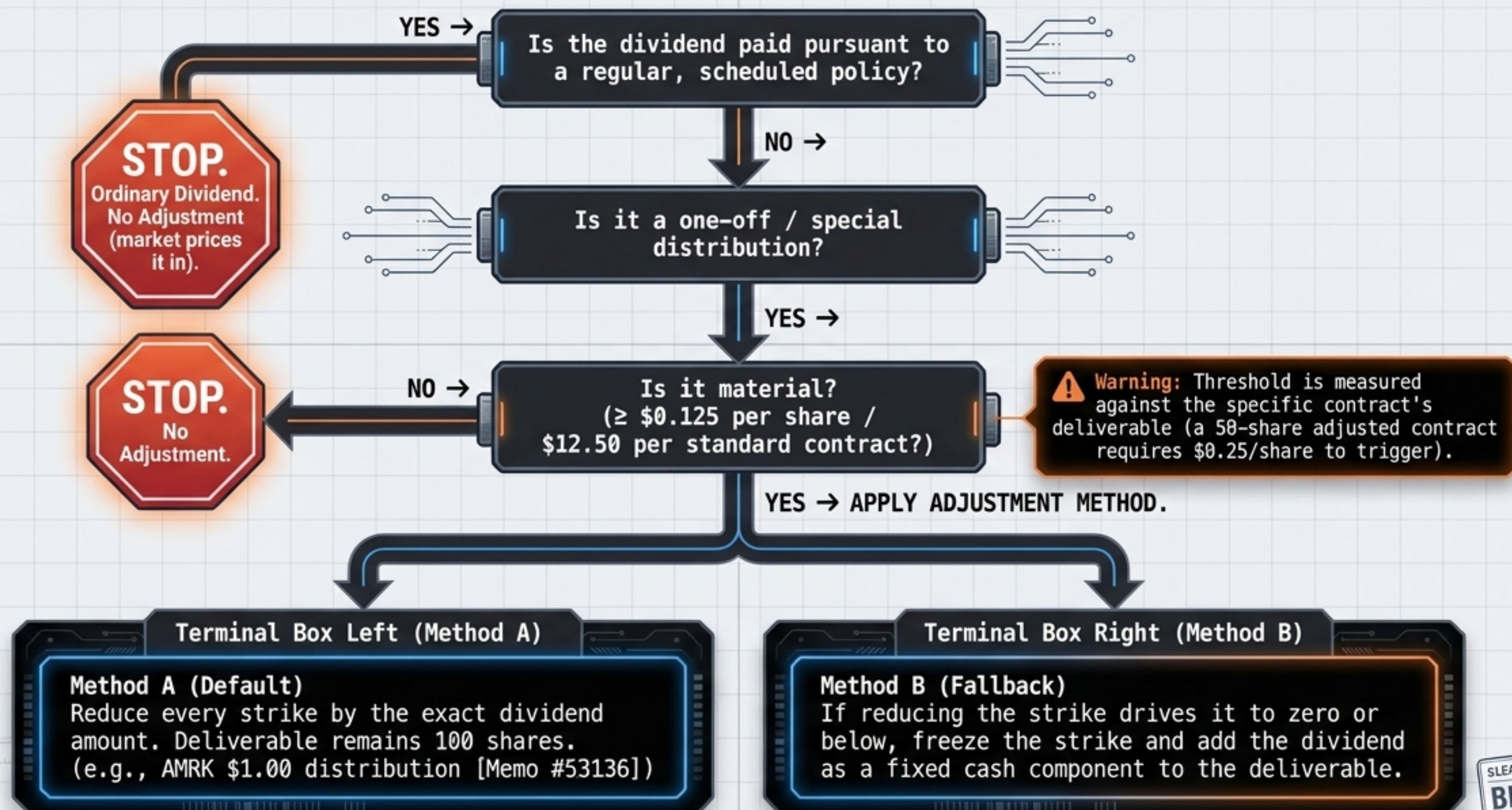
A quoted premium of \$1.00 now costs \$150.

Reverse Splits and the Cash-In-Lieu Lockbox

Companies reverse-split to lift a low share price. The aggregate exercise price is **preserved** because the **strike and multiplier stay exactly the same**—only the deliverable shrinks.



The Dividend Adjustment Decision Tree



Mergers, Spinoffs, and Extreme Corporate Events

All-Cash Buyout

Rule: Deliverable converts to pure cash.
Expiration accelerated (Rule 807).
OTM options expire worthless immediately.

Data Trace: Amryt Pharma (AMYT) [Memo #52249]
- Acquired for \$14.50 cash/ADS. Option
deliverable became fixed \$1,450 cash per contract.

Cash + Stock Merger

Rule: Deliverable carries both legs.

Data Trace: Celgene (CELG) to BMJ -
100-share contract adjusted to deliver \$5,000
cash + 100 BMJ shares + 100 tradeable
CVRs.

Spinoff

Rule: Parent stock + pro-rata child stock
+ CIL for fractions.

Data Trace: AT&T (T) to WBD [Memo #50289] - 1
contract delivered 100 shares T + ~24 shares WBD
+ Cash-in-Lieu fraction.

Bankruptcy & Liquidation

Rule: Deliverable collapses. Shares
canceled for nothing = Calls go to \$0,
Puts pay maximum strike cash.

Halted trading = Exercise rights usually
remain despite halted secondary market.

Managing Obligation Risks on the Short Desk

Deliverable Shift

Metric: Size Risk

A 3-for-2 split means your single short call no longer obligates 100 shares—it obligates 150. Assignment of adjusted puts can demand materially larger capital requirements than your initial strike $\times$ 100 math.

Greek Rescaling

Metric: Unit Risk

After a 4-for-1 split, you hold four contracts, each with one-quarter the per-contract theta and vega. Aggregate exposure is preserved, but per-line risk reports will look entirely different. Confirm units.

Liquidity Vacuum

Metric: Spread Risk

Adjusted series suffer wide bid/ask spreads. Market makers abandon them to concentrate on the newly listed, standard 100-share series. Rolling an adjusted short will cost you the spread.

Share Retention Math

Metric: Assignment Probability

If your goal is retaining shares on covered calls, re-check assignment probability immediately against the new strike and deliverable. The safety cushion you built may have vanished.

Style Mechanics Drive Early Assignment Risk

Because ordinary dividends are never adjusted by the OCC, the only way to capture that cash via options is to physically own the shares over the ex-date.

American Style (Single-name stocks & ETFs)	European Style (Broad-based index options)
Mechanic: Can be exercised any time before expiration. The Trap: Deep ITM call holders will exercise early—specifically the day before the ex-date—to steal the dividend.	Mechanic: Can only be exercised at expiration. The Trap: None. Early exercise is mathematically impossible.
Short Risk: Immediate Assignment. If you are short an ITM call, you carry early-assignment risk and can be forced to deliver shares overnight, missing the dividend entirely.	Short Risk: Structurally Immune. Short sellers do not face early assignment risk regarding dividends.



Reading Adjusted Contracts in the Wild

PCAR 90 CALL BID 9.80 ASK 10.00

PCAR 1 90 CALL BID 0.80 ASK 1.00

Pointer 1: The Universal Warning Flag

When a deliverable stops being a plain 100 shares, the OCC appends a digit. It increments with successive events (...1, ...2).

Pointer 2: The Pricing Mirage

"Cheap" premium is an illusion. It is not arbitrage. It likely delivers fewer shares or carries a different multiplier.

Golden Rule Formula:

Intrinsic Value = (Deliverable Value) – (Strike × Multiplier)

Do the exact exercise-value math. Standard terminal screens that assume a rigid 100 multiplier will violently mislead your P&L projections.

Verification Protocols Before Execution

Never trade an adjusted contract based on summary screen assumptions or third-party summaries (including this one).

01	Spot the Flag Look for trailing numbers on the ticker symbol (...1, ...2). This confirms non-standard terms.
02	Pull the Official Memo Immediately navigate to infomemo.theocc.com and search the symbol or memo number.
03	Confirm the Four Variables Extract the Effective Date, New Multiplier, Strike Divisor, and exact Deliverable components before pricing the trade or calculating your margin requirement.

Legal Sourcing & Framework:
Stock splits & dividends: OCC By-Laws Article VI, Sections 11 and 11A.
Mergers & conversions: OCC By-Laws Article XII.
Cash-settlement acceleration: OCC Rule 807.
Dividend threshold framework: SEC filing SR-OCC-2024-003.